

8 Reasons Everyone Should Have a Number

(As written in Traction)

1. **Numbers cut through murky subjective communication between manager and direct reports.** As an example, where the old response between sales manager and salesperson regarding last week's sales activity was a vague "Great! Things are picking up," the new number-based answer is crystal clear: "I got three." If three is good for that company, then last week was great. If they needed to get 10, there is an issue to solve. Better to solve it now than two months from now when it shows up as poor revenue in the P&L. Numbers aren't just for the person. They become a communication tool between manager and direct report, creating the basis of comparison, unemotional dialogue, and, ultimately, results.
2. **Numbers create accountability.** When you set a number, everyone knows what the expectation is. Accountability begins with clear expectations, and nothing is clearer than a number. For example, if in the accounting department the people's expectations are "collections," that is unclear. However, if they are supposed to keep accounts receivable days below 40, balance below \$100,000, or aged receivable less than \$50,000, that is a clear expectation. The people know exactly what their target is.
3. **Accountable people appreciate numbers.** Wrong people in the wrong seats usually resist measurables. Right people in the right seats love clarity. Knowing the numbers they need to hit, they enjoy being part of a culture where all are held accountable. It creates an esprit de corps with everyone pitching in to make the company a success because right people want to win.
4. **Numbers create clarity and commitment.** When an employee is clear on his or her number and agrees that he or she can achieve it, you have commitment. There is no gray area. A great example is the number Nordstrom uses with its salespeople: sales per hour. The number shows up on their paychecks and perks are tied to it. Nordstrom salespeople know exactly what their sales expectations are all the way down to an hourly basis.
5. **Numbers create competition.** Charles Schwab was able to create competition by making a target number known to all teams. Sure, they might experience some discomfort and a little stress, but there is nothing wrong with a little pressure.
6. **Numbers produce results.** Similar to the way Rudolph Giuliani helped turn a city around, you can create terrific results. If the customer service department's expectation is zero unresolved customer issues, by hitting this number, you will achieve the ultimate result of customer retention and satisfaction. Or if your customer service people are accountable for ancillary sales, and they know \$1,000 in daily ancillary sales will reach the total ancillary sales goal, you'll typically hit it, or at least do better than if you don't provide this number. What gets watched improves.
7. **Numbers create teamwork.** When a team composed of the right people in the right seats agree to a number to hit, they ask themselves, "how can we hit it," creating camaraderie and peer pressure. When a team of technicians are challenged to perform their service in four hours or less collectively, they will all pull together to figure out ways to achieve that number. The ones that aren't pulling their weight and hitting the number will be called out by the other team members that are.
8. **You solve problems faster.** When an activity-based number is off track, you can attack it and solve the problem proactively, unlike with an end-result based number that shows up after it's too late to change it. In addition, the use of hard data cuts through all of the subjective and emotional opinions that create murkiness and lengthen the amount of time it takes to make the right decision.